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| <p>1.1.4 Elasticity</p> | <p>Price elasticity of demand (PED)</p> <ul style="list-style-type: none"> <li>a) Definition of PED.</li> <li>b) Formula of PED.</li> <li>c) Calculate the PED using given percentage changes in quantity demanded and percentage changes in price.</li> <li>d) The use of diagrams to show price elastic and price inelastic demand.</li> <li>e) Interpret numerical values of PED that show: <ul style="list-style-type: none"> <li>• perfect price inelasticity</li> <li>• price inelasticity</li> <li>• unitary price elasticity</li> <li>• price elasticity</li> <li>• perfect price elasticity.</li> </ul> </li> <li>f) The factors influencing PED, including: <ul style="list-style-type: none"> <li>• substitutes</li> <li>• degree of necessity</li> <li>• percentage of income spent on goods or service</li> <li>• time.</li> </ul> </li> <li>g) Use of total revenue calculations to show the relationship between a change in price and the change in total revenue, to determine whether demand is price elastic or price inelastic.</li> </ul> <p>Price elasticity of supply (PES)</p> <ul style="list-style-type: none"> <li>h) Definition of PES.</li> <li>i) Formula of PES.</li> <li>j) Calculate the PES using given percentage changes in quantity supplied and percentage changes in price.</li> <li>k) The use of diagrams to show price elastic and price inelastic supply.</li> <li>l) Interpret numerical values of PES that show: <ul style="list-style-type: none"> <li>• perfect price inelasticity</li> <li>• price inelasticity</li> <li>• unitary price elasticity</li> <li>• price elasticity</li> <li>• perfect price elasticity.</li> </ul> </li> </ul> |
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| Subject content | What learners need to study:                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |
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|                 | <p>m) The factors influencing PES, including:</p> <ul style="list-style-type: none"> <li>• factors of production</li> <li>• availability of stocks</li> <li>• spare capacity</li> <li>• time.</li> </ul> <p>n) Use examples to show the likely PES for manufactured and primary products.</p> <p>Income elasticity of demand</p> <p>o) Definition of income elasticity of demand.</p> <p>p) Formula of income elasticity of demand.</p> <p>q) Calculate the income elasticity of demand using given percentage changes in quantity demanded and percentage changes in income.</p> <p>r) Interpret numerical values of income elasticity of demand that show:</p> <ul style="list-style-type: none"> <li>• luxury goods</li> <li>• normal goods</li> <li>• inferior goods.</li> </ul> <p>s) The significance of price and income elasticities of demand to businesses and the government, in terms of:</p> <ul style="list-style-type: none"> <li>• the imposition of indirect taxes and subsidies</li> <li>• changes in income.</li> </ul> |